



Affinity's acquisition of SK rent-a-car

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I. Industry Overview

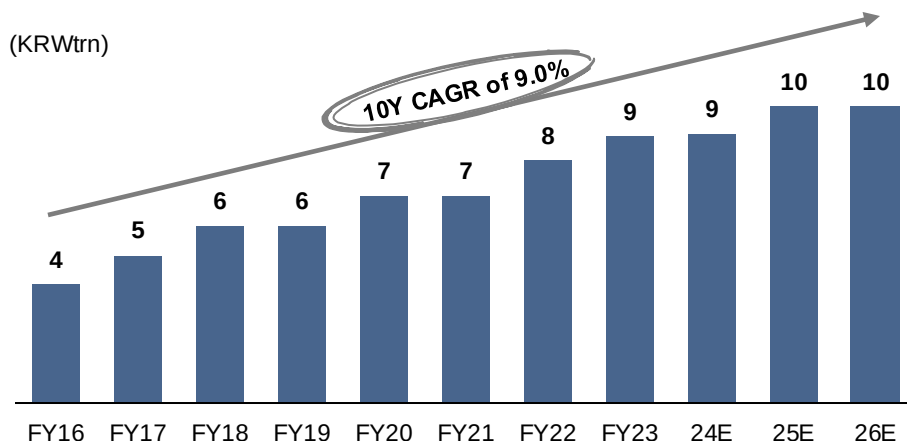
1. Domestic Market
2. Competitive Landscape

The rental car service industry in Korea is undergoing robust growth, backed by lower costs and the increasing corporate and individual demand for flexible mobility solutions

Rental car service industry outlook

Revenue growth of Korea's rental car service industry

- The growth in Korea's rental car service industry is largely driven by the prioritization of cost and convenience



Driver #1

Preference of customers

- Consumers are **increasingly attracted** to options that offer high **convenience**
- Specialized management** provided by rental service firms satisfy their demands

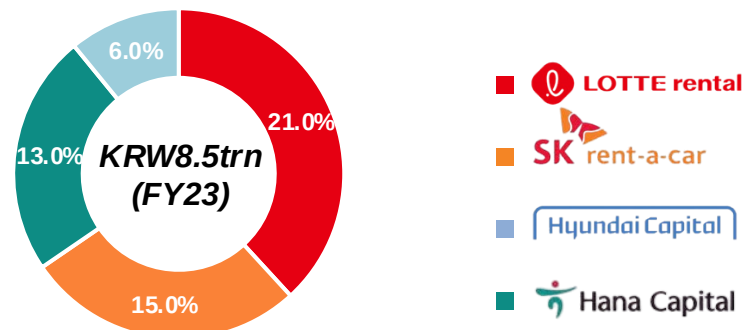
Driver #2

Lower cost

- Using the company's **creditworthiness**, rental fees are **lower** compared to the installment/lease interest rates linked to a customer's **individual creditworthiness**

Industry players overview

Market share of rental car service industry



Regulations on capital companies and market share outlook

Rental companies

LOTTE rental
SK rent-a-car
SOCAR
redcap

Capital companies

Hyundai Capital
Hana Capital

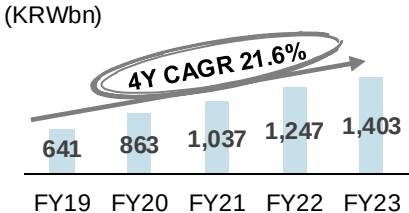
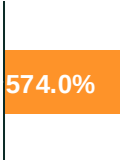
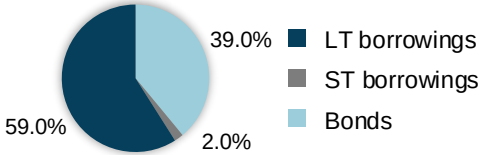
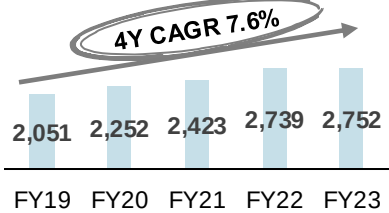
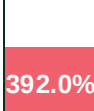
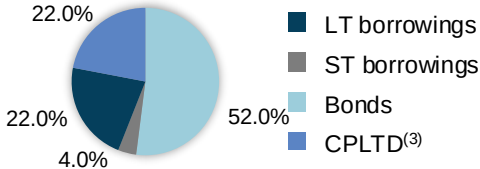
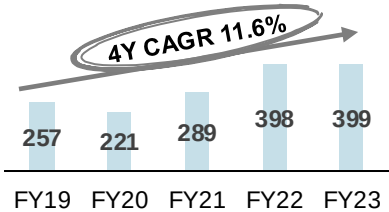
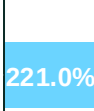
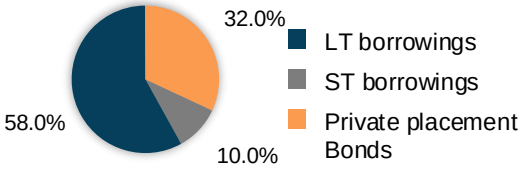
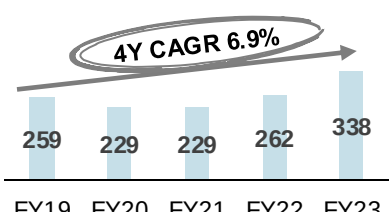
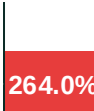
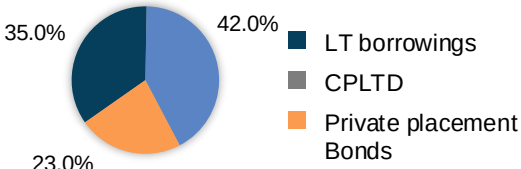
☒ CREFIA⁽¹⁾ stipulates the average balance of rental assets not exceed the leased assets, prohibiting growth

☒ Traditional rental companies are projected increase **market share**

The greatest contingency in capturing market share going forward will be the financing cost and scale

Competitive Landscape

The competitive dynamics of the rental car industry largely revolves around the ability to procure low financing costs at a large scale, as the fleet of vehicles are acquired through debt

Company	Revenue (KRWbn)	D/E ratio ⁽¹⁾	Composition of debt ⁽²⁾	Notes
				- Offers services in all short, middle, and long-term rental services - Able to lower financing costs through public offerings of bonds
				- Leads in both market share and total number of registered vehicles - Part of the Lotte conglomerate and possesses strong corporate backing
				- Has pioneered the domestic car-sharing industry - Has a strong focus in implementing AI and IoT to enhance user experience
				- Provides both travel and rental car services, often in a package - Has been shifting their focus to implement more electric vehicles in their fleet

II. Case Study

1. Company Snapshot
2. Business Overview
3. Affinity Deal Overview

SK rent-a-car is a leading South Korean rental car company that provides a wide range of rental services through their integrated fleet management services with a strong focus on customer convenience

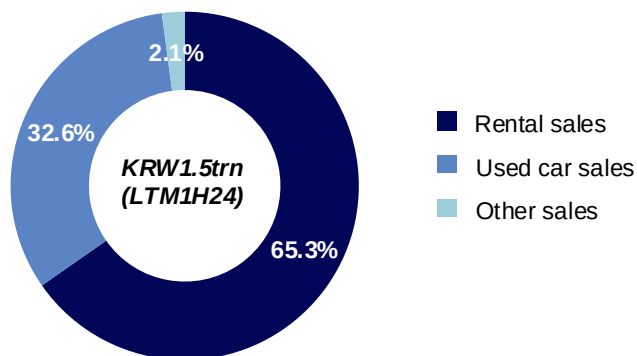
Company profile

- Established in 1988, SK rent-a-car has grown to become the second largest rental company in Korea, amassing over 15.0% of the domestic rental car market
- Its business encompasses two main components of car rental services and the sale of used cars, generating revenue from various sources
- The company has pioneered innovation in various aspects of mobility services, being the first company in Korea to introduce deposit-free long-term rental cars and electric vehicle ("EV") rental services
- Recently, Affinity Equity Partners has acquired a 100.0% stake in the company for KRW820bn, obtaining control from its previous owners of SK Networks

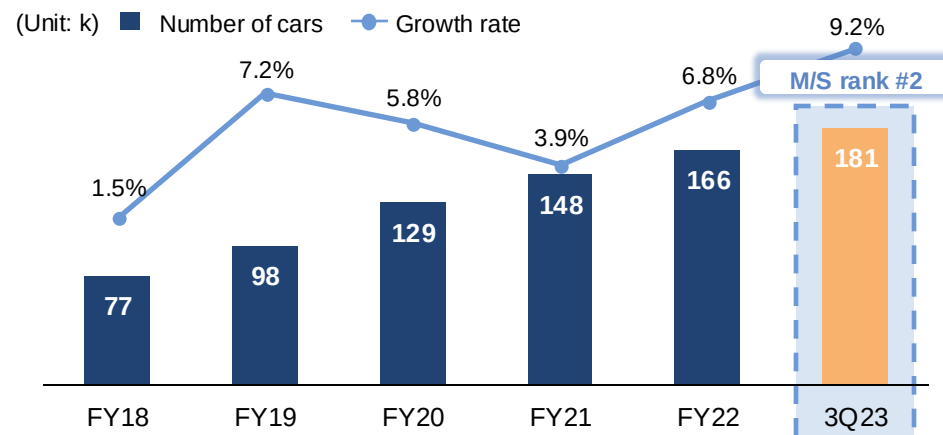
Key financials

(KRWbn)	FY20	FY21	FY22	FY23	LTM1H24
Revenue	863	1,037	1,247	1,403	1,470
<i>Growth (%)</i>	34.7%	20.1%	20.2%	12.5%	4.8%
EBITDA	308	497	608	682	694
<i>Margin (%)</i>	35.6%	47.9%	48.8%	48.6%	47.2%
EBIT	71	79	95	122	136
<i>Margin (%)</i>	8.2%	7.6%	7.6%	8.7%	9.2%
Net Income	18	21	21	24	26
<i>Margin (%)</i>	2.1%	2.0%	1.7%	1.7%	1.8%
Total Assets	2,227	2,860	3,342	3,535	3,689
Total Liabilities	1,764	2,377	2,826	3,010	3,142
Net Debt	1,255	1,377	2,024	1,588	1,575

Revenue breakdown



Number of registered rental cars

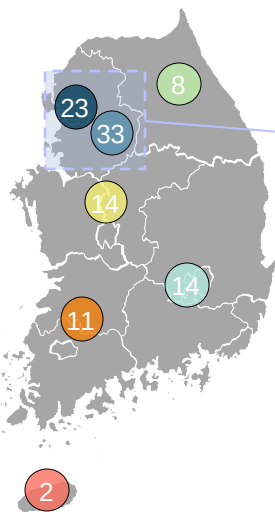


The company generates revenue from both traditional rental services and the sale of used cars, enabling it to diversify income streams and enhance financial stability

Business portfolio at a glance

Rental services			Sale of used cars		
 Short-term rentals Provides customers with vehicle for a minimum of one day a travel	 Mid-term rentals Open-ended term for all durations above a month	 Long-term rentals Offers both new and used cars for the duration between 24-60 months	After 3-4 yrs of use		
			Business	 Export/Auction	 TAGO BUY
			Type	B2B	B2C
			Overview	Vehicles removed from fleet are either exported or sold at auctions	Sells meticulously maintained, accident-free used cars
			Key highlights	Cars are exported to 13 countries, including regions in the Middle East	Vehicles undergo an inspection consisting of over 200-items
			Strengths	Process helps optimize fleet, while generating revenue	Provides consumers with a cost-effective path to ownership

The firm possesses 100 centers spread across the nation, including locations in airports and KTX stations



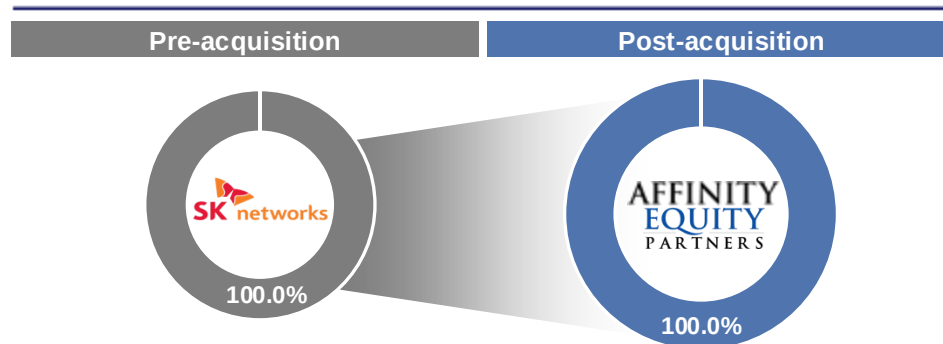
Over 50.0% of locations are positioned near the **metropolitan area**, exhibiting the **high demand concentration** of personal and corporate leasing

- Seoul
- Gyeonggi province
- Chungcheong province
- Gyeongsang province
- Jeolla province
- Gangwon province
- Jeju island

Affinity Deal Overview

Affinity Equity Partners has acquired a 100.0% stake in SK rent-a-car for KRW820bn, adding to their diverse portfolio and concurrently reestablishing their eminence in South Korea

Deal structure



Key highlights	
Transaction value/equity value	KRW820bn
Number of shares acquired	43mn shares (100.0%)
Implied enterprise value	KRW3trn
P/E ratio	31.0x
Implied EV/EBITDA	5.0x

Mar, 2024
SK rent-a-car
made available
for acquisition

Apr, 2024
MOU written
between SK
Networks and
Affinity

Aug, 2024
Sale to Affinity
for KRW820bn

Buy-side rationale

1 Market leadership and stability

- Amassing over **15.0% of the market share** while consistently growing revenues, the firm has established as one of the market leaders in an industry with high barriers of entry

2 Significant potential for further growth

- The growing proportion of used car sales, a business segment **with high margins**, delineates potential for future growth
- Bolt-on opportunities present with further acquisitions of rival companies

Sell-side rationale

1 Streamlining of strategic priorities

- The divestiture **raises funds** for initiating SK conglomerate's shift towards select, core industries consisting of artificial intelligence, semiconductor, and biotech

2 Improved financial stability

- The injection of funds allow for improvements in the SK group's **financial stability**, which has a deteriorating current ratio of 98.7%⁽¹⁾, down from 100.6% in 1Q24

III. Investment Highlights

1. Profitability and Growth of Industry
2. SK rent-a-car's Tactical Coordination
3. SK rent-a-car's Competitive Edge

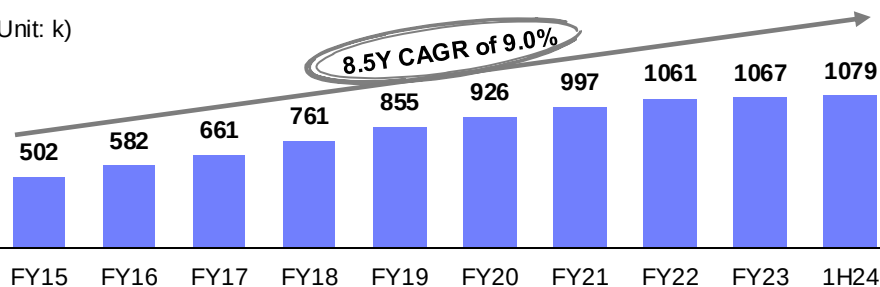
Highly Profitable Business in a High-growth Industry

The rental car industry's steady growth and high profitability are founded by its effective integration of business segments and the high margins on used car sales

Growth in number of rental vehicles registered

- The growth in the number of rental vehicles is fueled by consumers' preferences for cheaper alternative to new cars

(Unit: k)



Adaption to trends aided by tailored business models



Increasing preferences

- Not only is renting a cheaper option compared to purchasing new cars, one monthly fee covers, the tax, insurance, and maintenance relating to the vehicle



Provision of options

- The rental industry has an incredibly well-integrated business model, offering customers various rental options and the ability to purchase used cars

Effective integration of fleet into different business segments

Active fleet



Sale of used cars



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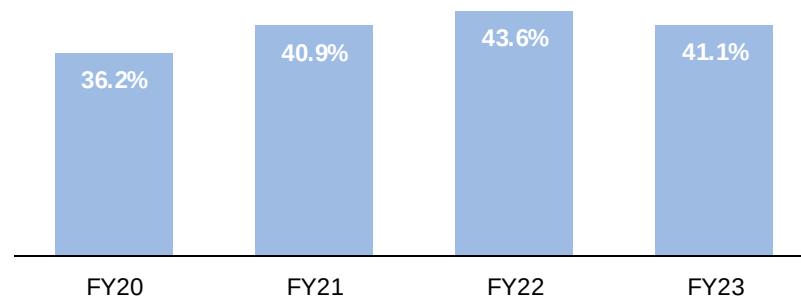
Due to the maintenance services provided by the firms, cars removed from the active fleet **are refurbished in-house**

2

Heavily depreciated used cars are sold through **proprietary platforms** (B2C) or auctioned/exported (B2B)

High profitability through gain on sale of PPE, with margins on transactions typically reaching over 20.0%

Average EBITDA margin of key players⁽¹⁾



In a market projected to be driven by growing shares of LT rentals and used car sales, SK rent-a-car has positioned itself to thrive through aligning its operational framework to match evolving market demands

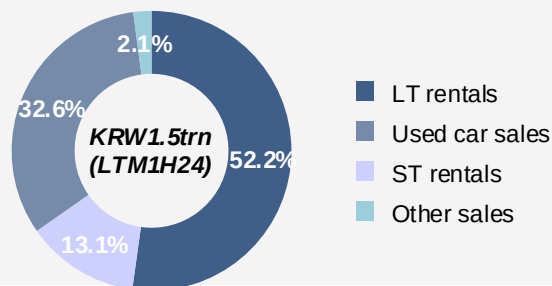


1 High proportion of LT rentals

80.0% of all rentals are LT

LT rentals are projected to grow, putting SK rent-a-car in a favorable position

Further breakdown of SK rent-a-car's revenue

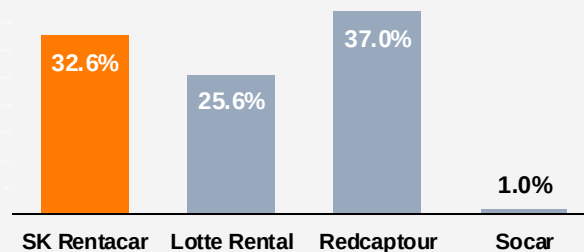


2 Gradual increase in used car sales

32.6% sale from used cars

The highly profitable segment of used cars has gradually increased over the years

% of revenue generated from used car sales⁽¹⁾



3 Procurement of low-cost debt

Capable of public offerings

Through public offerings, the firm possesses the ability to raise funds on a larger scale

Credit rating

A+

Funds raised

KRW300bn raised from public offerings⁽²⁾

Through solidifying critical business segments and leveraging its strengths in debt financing, SK rent-a-car has positioned itself for success in an industry expected to grow in the form of increased LT rentals and used car sales

3 Competitive Edge through Data-driven Innovation

SK rent-a-car distinguishes their business from competitors through collecting and applying data-driven solutions to address pervasive challenges confronted by drivers



Description	- Smartlink is a telematics-based fleet management platform with data-based features - It improves operational efficiency for both corporate clients and individual users
Services provided	- Automatic creation of formatted driving logs - Effective organization of toll-fees and gas fees - Streamlines process of car-sharing within fleet Collects, organizes, and presents data related to driving behavior and patterns
Effects by numbers	Crashes down by 11.0% Hours expended down by 50.0% Gas expenses down by 20.0% Toll-fees down by 15.0%
Total # of managed cars	100k+ cars managed

The comparative strength of Smartlink

Comparison to similar platforms provided by peers

LOTTE rental	☐ Narrower focus on corporate customers
redcap	☐ In development of proprietary system
SOCAR	☐ Narrower emphasis on car-sharing
SK rent-a-car	☒ Comprehensive fleet management system ☒ Prioritization of data privacy ☒ Only platform to tailor to government institutions

SK rent-a-car's basis of data-driven operations provide an initial framework requisite in transforming the rental car business to become a more personalized service